COMPETITION AND MARKETS AUTHORITY

Decision on relevant merger situation and substantial lessening of competition

ME/7104/25

Completed acquisition by Pennington Industries Limited of Halworth Pump Systems Limited

Decision on reference under section 22(1) of the Enterprise Act 2002 given (in summary) on 9 February 2026. Full text published 13 February 2026.

SUMMARY

1. On 30 September 2025, Pennington Industries Limited (Pennington) acquired the entire issued share capital of Halworth Pump Systems Limited (Halworth) (the Merger). Pennington and Halworth are together referred to as the Parties.

2. The CMA believes that it is or may be the case that the Parties have ceased to be distinct as a result of the Merger, that the share of supply test in section 23 of the Enterprise Act 2002 (the Act) is met and that, accordingly, arrangements are in progress or in contemplation which, if carried into effect, will result in the creation of a relevant merger situation.

3. The Parties overlap in the supply of centrifugal and submersible pumps in the UK. The CMA has assessed the impact of the Merger in the supply of such pumps to the municipal water and wastewater sector, where the Parties' combined share of supply is significant.

4. The CMA's investigation focused on horizontal unilateral effects arising from the loss of competition between the Parties. The CMA found that the Parties are close competitors in the supply of centrifugal and submersible pumps to UK water companies and their framework contractors, and that the constraint each imposes on the other would be lost as a result of the Merger.

5. While the CMA recognised the presence of other suppliers, including global original-equipment manufacturers, it considered, on the evidence available at Phase 1, that it could not be confident that these suppliers would impose a sufficient competitive constraint on the merged entity in the relevant frame.

6. The CMA therefore found that the Merger gives rise to a realistic prospect of a substantial lessening of competition (SLC) in the supply of centrifugal and submersible pumps to the municipal water and wastewater sector in the UK.

7. The Merger therefore qualifies for reference and the CMA is required to refer it for a Phase 2 investigation unless one of the exceptions to the duty to refer applies, or the CMA accepts undertakings in lieu of reference under section 73 of the Act.

8. Pennington has, within the statutory period, offered undertakings in lieu of reference to remedy the SLC, comprising the divestment of Halworth's Aqualis municipal-water pump business. The CMA considers that there are reasonable grounds for believing that the proposed undertakings, or a modified version of them, might be accepted under section 73 of the Act. Accordingly, the CMA is considering whether to accept undertakings in lieu and the decision on reference is deferred pending that consideration.

ASSESSMENT

Jurisdiction

9. The Parties' combined shares of supply on the frames considered by the CMA are set out below. The CMA was satisfied that the share of supply test is met on at least one reasonable description.

Frame (UK)	Pennington	Halworth	Combined	Increment

Centrifugal pumps (all end-uses)	14%	8%	22%	8%
Municipal water/wastewater centrifugal pumps	19%	17%	36%	17%
Submersible drainage pumps (water utilities)	11%	21%	32%	21%

Competitive assessment

10. The CMA assessed bidding and win/loss evidence and internal documents. Although the Parties' economic adviser submitted analysis indicating limited diversion between the Parties, the CMA considered that the evidence was not, at Phase 1, sufficient to exclude a realistic prospect of an SLC in the narrower water-sector frame, in which the field of credible UK-based suppliers is limited and the Parties bid against one another on framework tenders.

Decision

11. The CMA found a realistic prospect of an SLC in the supply of centrifugal and submersible pumps to the municipal water and wastewater sector in the UK, and is considering undertakings in lieu of reference offered by Pennington under section 73 of the Act.

Adrian Renton

Director of Mergers — Competition and Markets Authority — 9 February 2026